

years. My hunch is that if he were to make a similar statement today, the balance would come pretty close to 50/50.

In a very real sense, Charlie is the active embodiment of Fisher's qualitative theories. From the start, Charlie had a keen appreciation of the value of a better business and the wisdom of paying a reasonable price for it. However, in one important aspect, Charlie is also the present-day echo of Ben Graham. Years earlier, Graham taught Buffett the twofold significance of emotion in investing: the mistakes it triggers for those who make irrational decisions based on it, and the opportunities it thus creates for those who can avoid falling into the same traps. Charlie, through his readings in psychology, has continued to develop that theme. He calls it "the psychology of misjudgment," a notion we look at more fully in Chapter 6, and through persistent emphasis he keeps it an integral part of Berkshire's decision making. It is one of Charlie's most important contributions.

Buffett's dedication to Ben Graham, Phil Fisher, and Charlie Munger is understandable. Graham gave Buffett the intellectual basis for investing—the margin of safety—and helped him learn to master his emotions in order to take advantage of market fluctuations. Fisher gave Buffett an updated, workable methodology that enabled him to identify good long-term investments and manage a focused portfolio over time. Charlie helped Buffett appreciate the economic returns that come from buying and owning great businesses. To this, Charlie helped educate Buffett on the psychological missteps that often occur when individuals make financial decisions. The frequent confusion surrounding Buffett's investment actions is easily understood when we acknowledge that Buffett is the synthesis of all three men.

"It is not enough to have good intelligence," wrote Descartes; "the principal thing is to apply it well." Application is what separates Buffett from other investment managers. A number of his peers are highly intelligent, disciplined, and dedicated. Buffett stands above them all because of his formidable ability to integrate the strategies of these three wise men into one cohesive approach.

Notes